WAVERLEY GATEWAY GUIDE

Connecting International Capital

ICELAND

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Reykjavík capital area	Capital and economic centre; seat of government, the Central Bank of Iceland and most financial, technology and service firms	Finance, software, creative industries, tourism services
Keflavík International Airport (Reykjanes)	Iceland's international gateway, which handled about 8.1 million passengers in 2025 and serves as a transatlantic hub	Aviation, logistics, tourism, hospitality
Þjórsá river and southern highlands	Landsvirkjun is developing the 95 MW Hvammur hydropower station, expanding Sigalda to 215 MW and building the 28-turbine Vaðalda wind farm	Renewable energy, engineering, construction services
Bakki and Húsavík (north-east)	Industrial site where Giga 42 has agreed a memorandum with Norðurþing for a 50 MW AI data centre, near Landsvirkjun's expanding Þeistareykir geothermal station	Data centres, geothermal energy, energy-intensive industry
Blönduós (north-west)	Site of a Borealis data centre being roughly doubled in size through a multi-billion-króna expansion	Data centres, digital infrastructure
Coastal fishing and seafood regions	Fisheries and seafood processing underpin exports, but foreign ownership is capped by law	Seafood processing, technology, marine services

INVESTOR ENTRY ROUTES

- Business Iceland (Íslandsstofa), the public-private promotion agency, supports exporters and foreign investors through its export and investment division
- A 20% corporate income tax for limited companies, with a 24% standard VAT rate
- EEA membership through EFTA, giving access to the EU single market for goods, services, capital and people, together with Schengen membership; Iceland is not an EU member
- The Icelandic króna, with an independent Central Bank of Iceland and capital movement within the EEA framework
- Act No 34/1991 on non-resident investment caps foreign ownership in fisheries, reserves energy rights to Icelandic and EEA persons, and limits non-EEA ownership of airlines to 49%
- Renewable hydro and geothermal power, supplied by the state-owned Landsvirkjun and others, attracting data centres and energy-intensive industry

- The government's Growth Plan to 2035, with an action plan of 35 measures for 2026–27 on permitting, regulation, energy and innovation

MARKET-ENTRY OBSERVATION

Iceland in November 2026 offers investors a high-income, well-governed economy with renewable energy, an educated workforce and rapidly improving public finances. GDP in the first half of 2026 was 1.3% above a year earlier, and the IMF projects growth of 1.8% in 2026 and 2.1% in 2027. Business investment rose 10.1% year-on-year in the second quarter, with data-centre-related investment reaching a record level, and Landsvirkjun is adding new hydro, geothermal and wind capacity. Tourism remains a core export, with about 2.25 million foreign visitors in 2025. The 2027 budget bill presented in September 2026 forecasts a treasury surplus of ISK 5 billion, ending eight consecutive years of deficits, and S&P revised Iceland's A+ rating outlook to positive in March 2026, citing a strengthening fiscal position.

Iceland's main structural challenge is bringing inflation down while keeping growth on track in a small, open economy. Inflation was 5.9% in October 2026, driven by energy prices linked to the Middle East conflict and higher public levies, and the Central Bank of Iceland raised its policy rate three times in 2026 to 8% before holding in October. GDP fell 1.1% year-on-year in the second quarter as a wider goods-trade deficit, partly due to data-centre imports, weighed on output. The mitigation is clear: the IMF expects inflation to fall to about 3.2% in 2027 and reach the 2.5% target by early 2028, fiscal policy is tightening, and treasury debt is projected at just under 38% of GDP by end-2027. In August 2026 voters rejected reopening EU membership talks, so Iceland's EEA membership remains the stable basis for access to European markets.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
High inflation and interest rates	Inflation of 5.9% and a policy rate of 8% raise financing costs and wage pressures	The central bank expects inflation to fall in 2027; fix financing costs where possible and build rate scenarios into plans
Currency exposure	The króna is a small floating currency, so returns can be affected by exchange-rate moves	Hedge króna exposure and match revenues and costs; tighter fiscal policy supports stability
Sector ownership restrictions	Foreign ownership is capped in fisheries, energy rights are reserved to Icelandic and EEA persons, and non-EEA airline ownership is limited to 49%	Structure investments through EEA entities where lawful, take local legal advice and focus on open sectors
EU relationship	Voters rejected reopening EU accession talks in August 2026, and the government has said it will not resume negotiations	EEA membership continues to provide single-market access; plan on the basis of the EEA framework
Electricity and grid capacity	Demand from data centres and industry is rising faster than new generation, with Hvammur and other projects still under construction	Secure long-term power agreements early and site projects near new geothermal, hydro and wind capacity
Tourism and aviation exposure	Foreign visitor numbers were flat in 2025 and the airline Play went bankrupt, reducing passenger traffic	Diversified carriers and steady demand support the sector; target higher-value tourism and year-round offerings
Small domestic market	A small population limits domestic demand and labour supply for large projects	Use Iceland as an export platform under the EEA and plan for international recruitment

INVESTOR RISK NOTE

Iceland's risk profile is that of a stable, high-income Nordic democracy and NATO member with strong institutions, renewable energy and rapidly improving public finances. The 2027 budget targets the first treasury surplus in eight years, S&P has placed Iceland's A+ rating on positive outlook, and business investment, particularly in data centres, is at record levels. The main near-term issues are inflation of 5.9% and a policy rate of 8%, which raise financing costs, and a slowdown in output in the second quarter of 2026; both are being addressed through tight

monetary and fiscal policy, with the IMF expecting inflation to fall in 2027. Investors should note the legal limits on foreign ownership in fisheries, energy rights and aviation, and that Iceland is not an EU member: following the August 2026 referendum, its relationship with the EU continues through the EEA Agreement, which provides access to the single market.

MARKET ACCESS

Through the EEA Agreement and EFTA membership, Iceland gives investors access to the EU single market for goods, services, capital and people, and it is a member of Schengen and the WTO. EFTA's network of free trade agreements extends preferential access to many markets beyond Europe. Following the 29 August 2026 referendum, in which 52.8% of voters opposed reopening EU accession talks, the government has said it will not resume negotiations, so the EEA remains the long-term framework. Seafood and tourism are central to Iceland's exports, and its position between Europe and North America, served by Keflavík airport and transatlantic sea routes, together with abundant renewable power, makes it a natural location for data centres, green industry and Arctic logistics.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (Prime Minister Kristrún Frostadóttir)	Leads the three-party centre-left coalition, which sets economic and fiscal policy and the Growth Plan to 2035	Primary reference point for Iceland's strategic direction and major projects
Business Iceland (Íslandsstofa)	Public-private agency promoting exports and foreign investment	Standard first point of contact for market entry and investment enquiries
Central Bank of Iceland	Sets monetary policy, with the policy rate at 8% after three increases in 2026, and supervises the financial system	Relevant for financial-sector matters, currency and macroeconomic outlook
Ministry of Finance and Economic Affairs (Minister Daði Már Kristófersson)	Leads the budget, tax policy and the return to fiscal surplus	Key counterpart on tax, fiscal and public-finance matters
Landsvirkjun	State-owned power company developing Hvammur, Sigalda, Þeistareykir and the Vaðalda wind farm	Essential partner for power supply to data centres and industry
Ministry responsible for commerce	Grants special permission for investment by foreign states or public authorities under Act No 34/1991	Counterpart for screening and sector-restriction questions
Municipalities such as Norðurþing	Local authorities that host industrial sites and data-centre projects	Partners for sites, permits and local infrastructure

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Iceland Chamber of Commerce and Iceland's sector federations of employers and industry are the main business associations, alongside bilateral chambers in key partner countries. Business Iceland organises trade and investment promotion, and Iceland's embassies in key markets, including London and Helsinki, run dedicated business and trade services. Landsvirkjun and municipalities hosting industrial sites are important early partners for energy-intensive projects, and the Growth Plan to 2035 provides a channel for dialogue on permitting and regulation. Embassies of major European partners and the United States in Reykjavík maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Iceland suits investors seeking a stable, renewable-powered base with EEA access: data-centre and AI infrastructure operators drawn by geothermal and hydro power and a cool climate; energy and engineering firms supplying Landsvirkjun's hydro, geothermal and wind projects; seafood technology, aquaculture and marine-services companies, within ownership limits; tourism and hospitality investors targeting higher-value, year-round demand; and technology and life-sciences companies drawing on a highly educated workforce. Investors in fisheries, energy rights or aviation should take legal advice on ownership restrictions before engagement.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Business Iceland and relevant ministries
Open dialogue with Business Iceland and the responsible ministry to understand incentives, permitting and any sector-specific restrictions.

STEP 2: Secure power and sites early
Agree long-term electricity supply with Landsvirkjun or other producers and work with municipalities such as Norðurþing on sites and permits.

STEP 3: Structure ownership for sector rules
Take legal advice on Act No 34/1991 caps in fisheries, energy rights and aviation, and on EEA structuring where lawful.

STEP 4: Plan for inflation, rates and currency
Model the 8% policy rate and króna exposure, and track the Central Bank's decisions and the 2027 budget.

STEP 5: Use the EEA as an export platform
Plan market access through the EEA and EFTA trade agreements, recognising that EU membership talks will not resume.